

Employing in Finland

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts referencing the applicable sector collective agreement
- **Monthly payroll** — salary payments in EUR, itemised payslips
- **Tax withholding** — income tax withheld per the employee's verokortti (tax card)
- **TyEL & social insurance** — pension, health, unemployment and accident insurance contributions
- **Leave and termination management** — notice periods, entitlements and termination guidance

Employment Conditions

Contracts & Probation

Finland has no national minimum wage — sectoral collective agreements set pay floors, overtime premiums and most other terms. Probation is typically up to 6 months, or 50% of a fixed-term contract's duration if shorter.

Item	Detail	Legal Basis
No statutory minimum wage	Set by the applicable sector collective agreement	Collective bargaining
Probation period	Maximum 6 months (or half of a fixed-term contract's length if shorter)	Employment Contracts Act
Standard hours	8 hrs/day, 40 hrs/week	Working Hours Act

Employer Contributions (2026)

Contribution	Employer Rate	Notes
TyEL pension insurance	~17.10% of gross salary (average)	Total TyEL contribution is 24.4%; employee pays a flat 7.30% (age-based tiers abolished for 2026)
Health insurance (employer)	~1.87%–1.91% of gross salary	Remitted to the Tax Administration alongside withheld income tax
Unemployment insurance (employer)	0.31% (up to €2,509,500 payroll) / 1.23% (above)	Graded by total employer payroll size
Occupational accident & group life insurance	~0.51% average (industry-dependent)	Employer-funded

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	2.5 days/month worked (30 days/year after 1 full year)	Employer	Annual Holidays Act; accrual period runs April–March
Sick Pay	Full pay for up to 9 weekdays minimum (longer under most CBAs), Kela sickness allowance thereafter	Employer + Kela (national insurance)	Employment Contracts Act minimum; CBAs typically extend this substantially
Parental Leave	Approx. 320 weekdays total, shared flexibly between parents	Kela (parental allowance)	2022 reform gave both parents an equal, largely non-transferable quota

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
TyEL pension (17.10%)	\$513.00	17.10%
Health insurance (1.87%)	\$56.10	1.87%
Unemployment + accident (illustrative, ~1%)	\$30.00	1.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,199.10	~140.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. TyEL is Finland's largest employer on-cost by far, averaging 17.10% though the exact rate varies by pension insurer. Employee deductions (withheld separately) include the flat 7.30% TyEL share, unemployment insurance (~0.89%), health insurance (~1.98% combined) and progressive income tax.

Income Tax (2026)

Finland uses a dual system — earned income (salary) is taxed progressively by the state and at a flat rate by the municipality (4.70%–10.90%, varies by kunta), while capital income is taxed separately at 30%/34%. The 2026 top marginal rate on earned income is around 52%.

Termination & Separation

Notice periods scale with length of service under the Employment Contracts Act, from 14 days (under 1 year) up to 6 months (12+ years) for employer-initiated termination. Finland has no general statutory severance payment — redundancy compensation, where provided, is typically set by the applicable collective agreement rather than national law.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National
3 April	Good Friday	National
5–6 April	Easter Sunday and Monday	National
1 May	May Day (Vappu)	National
14 May	Ascension Day	National
~19–20 June	Midsummer Eve and Day	National — one of Finland's most significant holidays
~31 October	All Saints' Day	National
6 December	Independence Day	National
25–26 December	Christmas Day and St. Stephen's Day	National

Ready to hire in Finland?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Finland employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).